

VERSION NO. 2	MANUAL TITLE FINANCE AND ADMINISTRATION MANUAL	DOCUMENT NO. FAM 7.3
	DOCUMENT NAME BONDS FOR ACCOUNTABLE OFFICIALS	REVISION NO. 0
		EFFECTIVITY DATE FEBRUARY 1, 2020
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1.0 OBJECTIVE

- 1.1 To ensure that all officers of any government agency whose duties permit or require the possession, custody or control of government funds or property shall be accountable therefor and for the safekeeping thereof in conformity with law.
- 1.2 To ensure that every accountable official shall be properly bonded in accordance with law.

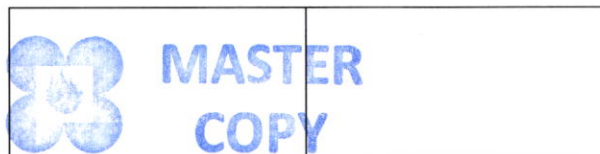
2.0 SCOPE

This covers the bonding of the accountable public officials pursuant to the provisions of the Public Bonding Law, and related issuances.

3.0 POLICIES

3.1 Accountability and Responsibility

- 3.1.1 The Office of the Executive Director and Office of the Campus Director shall be primarily responsible and accountable for all government funds and property pertaining to his/her office.
- 3.1.2 Persons entrusted with the possession, custody or control of the funds or property under the Office of the Executive Director or Office of the Campus Director shall be immediately responsible to him/her without prejudice to the liability of either party to the government.
- 3.1.3 Accountability for Public Funds - Every personnel accountable for public funds shall be liable for all losses resulting from an unlawful deposit, use, or application thereof, and for all losses attributable to negligence in the keeping of such funds.
- 3.1.4 Accountability for Public Property - Every personnel accountable for public property shall be liable for its money value in case of improper and unauthorized use or misappropriation thereof, by himself/herself or any person for whose acts he/she may be responsible. He/She shall likewise be liable for all losses, damages or deterioration due to negligence in the keeping or use of the property, whether or not it be, at the time of such loss, damage or deterioration, in his/her actual custody.



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3.1.5 Money and Property Accountability - An accountable personnel who has both money and property accountability shall be bonded only once to cover both accountabilities in accordance with the schedule of Premium Rates.

3.1.6 No accountable or responsible officers shall be pecuniarily interested, directly or indirectly, in any contract or transaction of the agency in which he/ she is such an officer.

3.2 Amount of Bond

3.2.1 The amount of the bond shall be based on the total accountability (cash, property and accountable forms) of the accountable personnel as determined by the Executive Director/Campus Director. Provided, the individual maximum accountability of each accountable public officer shall not exceed One Hundred Million Pesos (PhP 100M). However, the Executive Director/Campus Director may assign to other public officers the excess accountability for which a separate Fidelity Bond shall be secured.

3.2.2 An official/employee who has both money and property accountability shall be bonded only once to cover both accountabilities.

3.3 Bond Premium

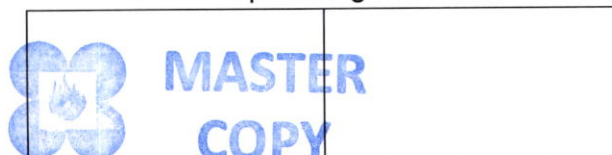
3.3.1 The premium of a fidelity bond shall be one and one half percent (1.5%) of the amount of bond but not less than PhP 150.00.

3.3.2 The premium shall be paid for one full year equivalent to twelve months.

3.3.3 Cancellation of a bond during its validity shall not make the premium refundable to the agency.

3.3.4 Bond premium shall be deposited by the applicant agency with an authorized government depository bank (AGDB). The Authority To Accept Payment (ATAP) shall be accompanied by a List of Bondable Officials/Employees accomplished in accordance with the form prescribed.

3.3.5 Proof of deposit of premium shall be presented to the BTr Fiscal Examiner IV of the province or National Capital Region district where the



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bond applicant is assigned. Proof of deposit is AGDB validated ATAP and List of Bondable Officials/Employees. Only upon presentation of proof of deposit of premium shall the bond application be processed.

3.3.6 A bond shall be personal and therefore is not transferrable.

3.3.7 Approved fidelity bonds shall be valid for one year.

3.3.8 The bonds shall be renewed by the Agency by submitting to the Bureau of the Treasury a list of bonded officials and employees subject to renewal and other attachments such as:

3.3.8.1 Copy of latest BTr transmittal letter approving original and renewed application;

3.3.8.2 Latest copy of Statement of Assets and Liabilities; and

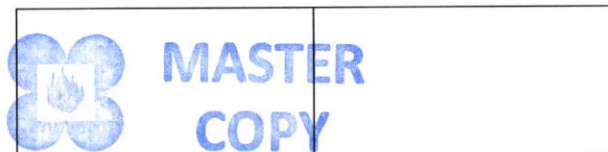
3.3.8.3 Agency certification that applicant has no pending administrative and/or criminal cases.

3.3.9 Expired bonds if not renewed shall be automatically cancelled.

4.0 PROCEDURES

4.1 For Newly Appointed Bondable Position

Responsibility	Activity
Executive Director/ Campus Director	1. Identifies bondable position or office
Cashier	2. Submits duly accomplished three (3) copies of the General Form No. 57 (A) which will be used in the request for application, increase, reduction, cancellation or transfer of a bond and General Form No. 58 (A) in four (4) copies, which shall be subscribed and sworn to before any officer duly authorized by law with the following documents for the preparation of Authority to Accept Payment (ATAP): • Three (3) copies of 3" x 4"-sized photograph



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- Sworn Statement of Assets and Liabilities as of the date of application and request for bonding
- Latest approved appointment to the bondable position or Office Order/Designation if the position of the applicant is not bondable but applicant is given bondable duties
- List of Bonded Public Officers
- Certificate of No Administrative Charge/Case

4.2 For Renewal of Fidelity Bond

Responsiility	Activity
Executive Director/ Campus Director	1. Identifies bondable position or office
Cashier	2. Accomplishes form 57(A) and submits to BTr with the following documents for the preparation of Authority to Accept Payment (ATAP): • Three (3) copies of General Form 57 (A) • Sworn Statement of Assets and Liabilities as of the date of application and request for bonding • Latest approved appointment to the bondable position or Office Order/Designation if the position of the applicant is not bondable but applicant is given bondable duties • List of Bonded Public Officers • Certificate of No Administrative Charge/Case



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4.3 Upon Receipt of Authority To Accept Payment (ATAP) and Deposit Slip from BTr

Responsibility	Activity
Accounting Unit Personnel	1. Prepares Disbursement Voucher for the payment of Bond Premium
Cashier	2. Deposits the check to the account of the National Treasury through the AGDB
	3. Submits to the BTr the AGDB validated copy of the Deposit Slip and ATAP
	4. Claims all other documents from the BTr stamped with the Risk Number

5.0 LIST OF FORMS AND REPORTS

5.1 Forms None

5.2 Reports

- 5.2.1 Annex B - Confirmation Letter (issued by the BTr)
- 5.2.2 Certificate of No Administrative Charge/Case
- 5.2.3 Annex C - Revised Schedule of Premium Rates
- 5.2.4 Annex D - List of Bonded Public Officer/s (For New Applicants)
- 5.2.5 Annex F - List of Bonded Public Officer/s (For Renewal)
- 5.2.6 Sworn Statement of Assets, Liabilities and Net Worth (SALN) Disclosure of Business Interests and Financial connections and Identification of Relatives in the Government Service

PREPARED BY: 	APPROVED BY: 	 MASTER COPY
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